

Multiple Choice

1. **Answer:** C

Options: A) Linearly increasing; B) Inverted U-shape; C) Horizontal; D) Upward sloping; E) Vertical

Note: Correct option: C - Horizontal

2. **Answer:** B

Options: A) High elasticity of demand and supply; B) Decline and instability; C) Lack of technological progress

Note: Correct option: B - Decline and instability

3. **Answer:** A

Options: A) Rich and poor countries will experience the same growth rates regardless of savings rates; B) Poor countries will have fluctuating growth rates independent of savings; C) The level of technology determines growth rates, not savings; D) The level of income has no impact on savings; E) Savings have no correlation with growth rates in any country

Note: Correct option: A - Rich and poor countries will experience the same growth rates regardless of savings rates

4. **Answer:** E

Options: A) the anticipated inflation rate plus the nominal interest rate; B) the nominal interest rate multiplied by the inflation rate; C) what one sees when looking at bank literature; D) the anticipated inflation rate minus the nominal interest rate; E) the nominal interest rate minus anticipated inflation

Note: Correct option: E - the nominal interest rate minus anticipated inflation

5. **Answer:** D

Options: A) A decrease in both supply and demand and an ambiguous change in interest rates.; B) An increase in supply lowering the interest rate.; C) A decrease in demand increasing the interest rate.; D) An increase in demand increasing the interest rate.; E) A decrease in supply increasing the interest rate.

Note: Correct option: D - An increase in demand increasing the interest rate.

True / False

6. **Answer:** True

Options: A) True; B) False

Note: LLM-generated true statement based on MCQ.

7. **Answer:** False
Options: A) True; B) False
Note: LLM-generated false statement. Correct answer: '2.5 percent.'
8. **Answer:** False
Options: A) True; B) False
Note: LLM-generated false statement. Correct answer: ' $P = MR = MC = ATC$ '.
9. **Answer:** True
Options: A) True; B) False
Note: LLM-generated true statement based on MCQ.
10. **Answer:** False
Options: A) True; B) False
Note: LLM-generated false statement. Correct answer: 'spillover benefits are received by society.'

Long Form Response

11. **Answer:** $P = MC$.. Explain why this is the correct answer and provide supporting evidence. Reference key facts or concepts that support this choice.
Note: Long-form derived from MCQ; award credit for stating the correct idea and giving supporting reasoning.
12. **Answer:** Everyone pays the same amount, regardless of income. Explain why this is the correct answer and provide supporting evidence. Reference key facts or concepts that support this choice.
Note: Long-form derived from MCQ; award credit for stating the correct idea and giving supporting reasoning.

End of Answer Key